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MANUAL TRANSMITTAL SHEET

Subject:

1530 - Real Property Management (Internal)

1. Explanation of Material Transmitted

This release brings the Bureau of Land Management in compliance with the recently-published Department of the Interior Real Property Financial Management Guide. It also establishes consistent direction to field offices in order to avoid material weaknesses that have been identified in recent financial audits.

This release re-establishes a BLM Real Property Management Manual Section which was deleted in accordance with Executive Order 12861, implemented in Instruction Memorandum No. 96-147.

2. Reports Required

None

3. Material Superseded

None

4. Filing Instructions

REMOVE

None

INSERT

1530 (5 sheets)

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.01 **Purpose.** The purpose of this Manual Section is to establish policy for the management of the real property of the Bureau of Land Management (BLM).

.02 **Objectives.** The objectives of the BLM real property management program are to:

- A. Establish and promote management and accountability for assets through sound property and accounting principles and policies.
- B. Establish systems and procedures to receive, account for, and dispose of real property by:
 - 1. Processing receiving reports in a timely manner to ensure that the real property records reflect an accurate picture of real property assets.
 - 2. Maintaining real property records to ensure that accountability of the real property assets is maintained.
 - 3. Performing regular inventories.
 - 4. Disposing of unneeded or unserviceable real property expeditiously.
- C. Establish a process to ensure that sound business decisions are made regarding establishing, improving, maintaining, and disposing of real property.

.03 **Authority.**

Basic authority for carrying out the real property management activities are contained in the Federal Property and Administrative Services Act of 1949, as amended. Other authorities are contained in the following:

- A. 5 U.S.C. 301 authorizes each Federal Agency to prescribe governing regulations.
- B. 5 U.S.C. 305(b) requires each Federal Agency to review its own operations.
- C. 18 U.S.C. 641 and 654 prohibit the conversion of government property to personal use. Section 1001 prohibits false statements or falsification of records, and Section 1031 prohibits knowingly obtaining property under false pretenses.
- D. 31 U.S.C., Chapter 9, establishes the authority and functions of the Chief Financial Officer.
- E. 40 U.S.C. 483 establishes the authority to transfer real property between agencies and requires agencies to maintain inventory controls over property. Section 484 authorizes the disposal of excess property.
- F. 42 U.S.C. Sec. 9620 requires that assessments for hazardous materials be performed in Federal facilities.

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- G. Federal Land Policy and Management Act of 1976 (43 U.S.C.) provides specific guidance to the BLM regarding utilization and disposal of public lands.
- H. 40 CFR PART 373 provides direction regarding reporting of hazardous substances when selling or transferring Federal real property.
- I. 41 CFR 102 Subchapter C is the Federal Management Regulation which prescribes policy regarding property management.
- J. Federal Acquisition Regulation, 48 CFR, Chapter 1, part 45, prescribes policy regarding government property under the control of contractors.
- K. The DOI Acquisition Regulations, 48 CFR, Chapter 14, prescribe specific DOI acquisition policy.
- L. Department of the Interior Real Property Financial Management Policy provides specific DOI policy regarding the accountability of real property.
- M. The DOI Real Property Financial Management Guide provides specific DOI procedures regarding accountability of real property.
- N. Statement of Financial Accounting Standards (SFFAS) Nos. 3, 6, 8, 11, and 16 apply accounting standards to the accountability for property, plants and equipment.

.04 Responsibility.**A. Office of the Director.**

1. Director. The Director is responsible for the overall management of the BLM real property management program and will certify on an annual basis, as part of the Management Control Assurance Statement, as to the accuracy and completeness of real property inventories performed by the field offices. The Director also ensures that accounts are reconciled, adequate financial controls are in place, and the financial records and reports accurately reflect the status of real property.
2. Deputy Director. The Deputy Director is authorized to act for the Director in all phases of BLM real property management.

- B. Assistant Director - Business and Fiscal Resources. The Assistant Director for Business and Fiscal Resources is responsible for ensuring that sufficient resources are available to conduct all phases of physical inventories and reconciliations, physical inventories are accurate and completed within the established timeframes, real property performance accomplishments are properly accounted for in periodic reports to the DOI, and sound business decisions are made regarding the acquisition, improvement, maintenance and disposal of real property.

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- C. Bureau Real Property Officer. This individual is responsible for providing Bureau-wide guidance and direction for effective real property management. This includes:
3. Providing guidance to manage the accountability of real property assets for BLM.
 4. Appraising the effectiveness of real property activities to ensure sound business decisions are made.
 5. Ensuring that economic and efficient systems and management controls are in place.
 6. Representing the BLM on inter/intra-agency teams and workgroups relating to the management of real property.
 7. Ensuring the annual capitalized real property inventory is accomplished.
 8. Ensuring that real property reviews of each State/Center are accomplished on a 4-year cycle.
- D. Bureau Chief Financial Officer. This individual is responsible for ensuring that adequate financial controls are in place and financial records and reports accurately reflect the status of real property, ensuring independent control of data in the accounting system, reconciling accounting system data to the capitalized real property records at least monthly, maintaining documentation of account reconciliations, and maintaining construction-in-progress financial records in cooperation with real property officers for each facility project in progress.
- E. National Business Center Property Operations Branch (BC-653). This branch is responsible for establishing the annual capitalized real property inventory cycle, ensuring that capitalized real property accounts are updated and that inventories are documented and reconciled with financial records, maintaining all financial records related to capitalized real property (including acquisition documents and inventory documentation), and maintaining close liaison with the Chief Financial Officer and other personnel involved with real property to ensure that values reported are accurate.
- F. State Directors. State Directors are responsible for providing guidance and assistance to the field offices and ensuring that internal State reviews of real property programs are performed on a 4-year cycle.

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- G. Accountable Officers. Accountable Officers are responsible for ensuring that accountability of real property assets of every kind is maintained and for certifying the annual real property inventories. Accountable Officers are responsible for ensuring that sound business decisions are made and appropriate safety, accessibility and security regulations are applied during the acquisition, improvement, maintenance and/or disposal of real property. The following are bureau Accountable Officers:
1. Assistant Director - Business and Fiscal Resources.
 2. National Center Directors.
 3. State Directors.
 4. Field Office Managers.
- H. Local Real Property Managers. The local real property manager is responsible for reviewing real property acquisitions and construction documents to ensure accurate budget object class assignment, submitting receiving documentation and real property records within 60 days of project completion, participating on a team to perform the capitalized real property physical inventories by verifying the accuracy of the real property records, ensuring that the records are updated to match the real property asset, and ensuring disposal documents are submitted in a timely manner.
- I. Local Engineering Staff. The local engineering staff is responsible for providing information to the local real property manager to enable the receipt and acceptance of real property within 60 days of completion, participating on a team with the local real property manager to complete the annual capitalized real property inventory, and notifying the local real property manager whenever information in the real property records needs to be updated. In addition, the local engineering staff is responsible for the completion of inventories on a 5-year cycle for all real property in the field office, regardless of acquisition cost.
- J. Contracting Officers. The Contractor Officer is responsible for providing information for the review of the local real property manager regarding all real property acquisitions and construction projects.
- K. Local Project Managers (Contracting Officer's Representative). This individual is responsible for ensuring that Project Completion Reports (Form 1310-11) are submitted to BC-653 within 60 days of completion of the project for all real property projects.

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.05 References

- A. BLM Manual Section 1112, Safety
- B. BLM Manual Section 1240, Evaluation Program
- C. BLM Manual Section 1245, Audit Coordination, Response and Follow-up
- D. BLM Manual Section 1301, Accounting Principles and Standards
- E. BLM Manual Section 1510, Acquisition
- F. BLM Handbook 2101-4, Pre-Acquisition Environmental Site Assessments
- G. BLM Manual Section 9110, Transportation Facilities
- H. BLM Manual Section 9112, Bridges and Major Culverts
- I. BLM Manual Section 9113, Roads
- J. BLM Manual Section 9150, Buildings and Recreation Facilities
- K. BLM Manual Section 9177, Maintenance and Safety of Dams
- L. BLM Manual Section 9310, Appraisal of Real Property

.06 Policy

- A. Real property owned or leased by BLM must be properly accounted for in real property accountability records. Any changes to real property owned or leased by BLM must be tracked and reflected in real property accountability records. Each real property acquisition, improvement, construction, donation, transfer or upgrade that meets the overall capitalization criteria will be recognized in the financial records and depreciated.
- B. Accountable Officers should make every effort to ensure that liabilities associated with newly acquired real property (such as hazardous materials, safety violations, and tort claims) are mitigated to the greatest extent possible prior to the completion of the acquisition process. Development of a business case for all real property acquisitions is required.
- C. In accordance with the DOI Real Property Financial Management Policy, dated April 30, 2003, the BLM established the capitalization threshold of \$100,000 per item. This capitalization threshold applies to all real property, buildings and other improvements; roads, bridges and dams; and modifications, improvements, etc. Specific information regarding this policy can be found in the DOI Real Property Financial Management Policy or the DOI Real Property Financial Management Guide.

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- D. An annual inventory to physically verify the presence and condition of all of BLM's capitalized real property will be performed. Non-Capitalized real property will be inventoried during a cyclical process at least once every 5 years. Real property annual inventories and cyclical condition assessment processes should be coordinated and performed concurrently, when feasible, at the local levels between the real property manager and the engineering staffs. In addition, real property business practices, procedures and policies will be reviewed during cyclical reviews performed by BLM property teams.
- E. Additional procedures will be provided in the BLM Handbook, H-1530-1, Real Property General Operating Procedures Handbook.

.07 File and Records Maintenance.

See BLM Manual Section 1221, Directives, and the combined Bureau General Records Schedule 4, items 4, 5 and 13, for disposition instructions.

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Glossary of Terms

-A-

Accountability: Property accountability includes responsibilities for such tasks as tracking the movement of assets, recording changes in physical condition and verification of physical counts. The property managers must exercise this responsibility and maintain proper control over an organization's assets through recordkeeping, effective policies and procedures, and appropriate security controls.

Accountable Officer: Accountable Officers are responsible for ensuring accountability of real property under their control and that accurate real property records are maintained. Accountable Officers are field office managers who have direct management oversight over the real property.

Accountable Real Property: Accountable real property assets are assets that are determined to be important because of their use, value or significance in meeting the BLM's mission and fiduciary responsibilities.

Acquisition: Acquisition of real property within BLM occurs in many ways, including, but not limited to, construction, procurement, donation, transfer and land exchanges.

-B-

Buildings: Buildings are defined as any structure with a roof and commonly enclosed by walls, designed for storage, human occupancy, or shelter for animals, distinguished from other structures not designed for occupancy (such as fences or bridges). Buildings include offices, warehouses, housing and storage units. Fixed equipment that is permanently attached to and a part of the operation of the building and cannot be removed without cutting into the walls, ceilings or floors is also included. Examples of fixed equipment include plumbing, heating and lighting equipment, elevators, central air conditioning systems and built-in safes and vaults.

-C-

Capital Improvements: Capital improvements are modifications to existing real property which (1) extend its useful life by 2 years or more or (2) enlarge or improve its capacity or otherwise upgrade it to serve needs different from, or significantly greater than, those originally intended. Capital improvements which meet the general capitalization criteria are capitalized and recorded in the general ledger.

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Capitalization: Capitalization is defined as recording the total acquisition cost of an item in the general ledger of DOI's financial accounts. The intent of capitalization in the financial records is to provide an accurate total reflection on DOI's investment in real property over time and to provide information on operating performance by allocating costs to the periods benefited.

Capitalized Real Property: In general, items to be capitalized include land and land rights, land improvements, buildings, building improvements and renovations, lease-hold improvements, roads, bridges, and utility systems.

-L-

Local Real Property Manager: Local real property managers are persons in each accountable office who are designated to ensure that real property accounts are reconciled, inventories are documented and all records related to real property are maintained.

-M-

Management: The safeguarding of the Federal Government's interest in real property in an efficient and economical manner consistent with the best business practices.

-R-

Real Property: Land (within established site boundaries), together with the improvements (buildings, structures, and site improvements), located thereon. For purposes of the real property management program, real property does not include stewardship assets.

-S-

Structure: A facility with a roof that is not enclosed on all sides or is not intended for permanent human occupancy. (Structures include pavilions, pole barns, hay sheds, 3-sided truck barns or storage facilities, communication vaults, vault toilets, well houses, flammable storage, and trail shelters.)